The Benefits of Access: Evidence from Private Meetings with Portfolio Firms

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What’s the paper about?

Do meetings between the asset manager and portfolio firms contain private information?

Is that information hard or soft?

Do the fund managers trade on that information?

Does that trading produce excess returns?

Our data sources: 2007-2015

UK Equities Desk

Internal Analysts
18 people, ~41,000 analyst recommendations

Analyst reports

"Buy"/"Hold"/"Sell" recomm.

Governance Specialists
23 people, ~260 to ~320 firms monitored at any one time

Governance health warnings

Shareholder votes

Fund Managers
18 people, ~40 to ~60 funds; plus ~40 fund managers on other Desks (alt. investments, Asia equities, Europe equities, multi-asset, private equity, real estate)

Meetings with portfolio firms
~9,400 meetings, usually in asset manager's offices

Detailed meeting notes

Portfolio decisions
Taken only by fund managers, ~11 million daily fund-level holdings; ~370,000 trades

Daily trades, all stocks, all funds

Portfolio firm
Portfolio holdings at any one time across ~330 to ~690 firms in FTSE All Index

CEO
Chairperson
CFO
Board members
Execs

Fund-level holdings are ~5,000 to ~8,000 positions at any one time

Fund 1 stake

Fund 2 stake

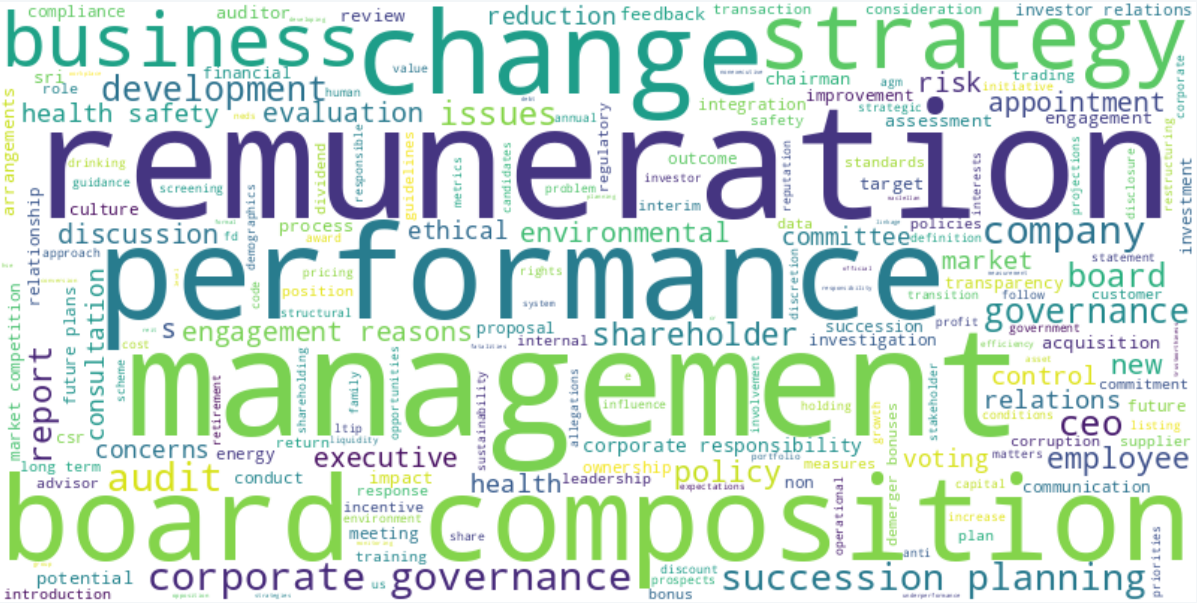
...

Fund N stake

What do they talk about?

Fund manager meetings

Governance specialist meetings



Recall: Must not involve *material* *non-public* *information* (MNPI) under UK rules, or no trading

Trading Based on Meetings of Fund (FM) & Governance & Stewardship (GS)Teams

	(1)	(2)	(3)	(4)
Dep. variable	Trade	Trade	P(Sell Trade)	P(Buy Trade)
$FM_{0,5}$	3.492***	0.142***	0.169***	0.716***
	[0.658]	[0.0248]	[0.0495]	[0.0954]
$GS_{0,5}$	-2.782***	-0.0772***	0.222***	-0.514***
	[0.684]	[0.0157]	[0.0663]	[0.0627]
Ln(Shrout)	-3.196***	-0.110***	-0.0735	-0.795***
	[0.971]	[0.0268]	[0.0769]	[0.148]
Stake Held	-54.21*	1.754*	39.45***	49.17***
	[28.42]	[0.895]	[10.97]	[10.96]
Day Return	51.39***	2.352***	-5.093***	9.899***
	[9.341]	[0.469]	[0.973]	[1.364]
Sample	Trades	Full	Full	Full
Stock, Date FE	Yes	Yes	Yes	Yes
N	240,058	10,436,084	10,450,063	10,450,063
Adjusted R^2	0.023	0.001	0.002	0.003

The dependent variable is the daily net percentage change in the number of shares held in the portfolio company per fund (columns 1, 2) and an indicator whether a sell trade or buy trade occurs on day *t* (columns 3, 4). $FM_{0,5}$ ($GS_{0,5}$) is an indicator whether a FM (GS) meeting takes place within a [0, 5] trading day window.

Sophisticated natural language processing

- Analyzing meeting notes at scale is challenging--hundreds of meetings take place each year, meeting notes are long (up to 2,200 words)
- Despite progress in recent years, extracting complicated information such as the amount of soft information contained in the discussion of a topic has been beyond the reach of researchers—until the advent of the revolutionary generative AI tool, GPT, specifically GPT4.
- Different from all previous NLP tools, GPT is able to take long, sophisticated questions and provide detailed and sophisticated answers at the level of human experts.
- We parse using OpenAI's API
- Model is GPT4-Turbo

"[the Chairman] was on chipper form. Looking unfeasibly tanned for this time of year, he […] had just returned from Lesotho by way of a break at a spa in Thailand […] He is a busy man. Perhaps as a consequence, [his] style would appear to be "light touch". He averred that his predecessor [...] had been "old school" but while

Meeting contents example: Carillion plc, a construction firm

- Held by dozens of international institutional investors;
- SLI holds the largest stake of ~10% (2015)
- Concerns from fund manager meetings
- On 1 December 2015 private meeting of governance specialist with Chairman

Meeting with Chairman at Carillion plc HQ – Wolverhampton

- Meeting notes:
  - » "[the Chairman] was on chipper form. Looking unfeasibly tanned for this time of year, he […] had just returned from Lesotho by way of a break at a spa in Thailand […] He is a busy man. Perhaps as a consequence, [his] style would appear to be "light touch". [..] It all sounded rather confusing."
- 2 weeks later the internal analyst updates from "Hold" to "Sell".

FM

Variable	Mean	Median	Min	Max	SD	Obs
Hard information	0.38	0.30	0.00	0.70	0.13	2,251
Soft information	0.62	0.70	0.30	1.00	0.13	2,251
Soft - firm	0.70	0.70	0.20	1.00	0.03	2,251
Soft - industry	0.20	0.20	0.00	0.30	0.02	2,251
Soft - market	0.10	0.10	0.00	0.60	0.02	2,251

Hard information representative quotes	
1	"The broad terms include 260bn of assets, on which 10bn of impairment has already been recognised, so a net asset total of 250bn."
2	"With the shares trading on 14.5x 2008 earnings they just look too expensive."
3	"[Firm name]'s MoU with government covers 1.4bn of [Product name] revenue, most of which is from contracts which were renegotiated in Q410 or Q111 in any cases."
4	"Their 2014 guidance of 4 6bn sales from pipeline products is a risk adjusted number."
5	"The PE remains at a significant discount to [Firm name] on 11.9x Sept 12, but is similar on EV EBITDA."

Soft information representative quote	
1	"[Person name] was probably most animated when talking about the opportunity in UK government outsourcing, where GFS has had some recent successes in the prisons market."
2	"It was good to finally meet [Person name], but I didn't feel that I learnt much new in terms of the investment case as there was a lot of chat about brand momentum intangible benefits [Person name] but very little on numbers."
3	"Overall, I was impressed with both the assets, which were better than I expected, and by the individuals I met, who were high calibre asset managers, and conveyed a positive sense of collegiate entrepreneurialism."
4	"It is difficult to know what is truly going on the ground because he tends to talk up the prospects for the business"
5	"Management came across as highly self confident, bordering on arrogant, although this is understandable given their achievements."

ESG

Variable	Mean	Median	Min	Max	SD	Obs
Hard information	0.23	0.25	0.00	1.00	0.12	1,120
Soft information	0.77	0.75	0.00	1.00	0.12	1,120
Soft - firm	0.75	0.70	0.60	1.00	0.09	1,107
Soft - industry	0.16	0.20	0.00	0.30	0.06	1,107
Soft - market	0.09	0.10	0.00	0.20	0.03	1,107

Hard information representative quotes	
1	"Our meeting came day after profits warning due to order delays"
2	"[Person name] signs all invoices over 20K"
3	"Year-end debt euro 126m worse than expected. FY loss of euro 314m."
4	"The senior US executives who presented to the board in 2006 misled the board."
5	"When they set their aspirational target to double eps in the 5 years to 2015, the two big areas of opportunity were growing internationally and moving more into frontline services."

Soft information representative quotes	
1	"[Person name] did not come across well. He lacked a reasonable grasp of basic governance details."
2	"[Firm name] is undoubtedly an entrepreneurially led company. Steps have been and are being taken to strengthen the management infrastructure."
3	"CEO [Person name] did much of the talking and the SID [Person name] looked as if he was thoroughly cheesed off at having to talk to a shareholder."
4	"[Person name] is quickly understanding how to interact in the boardroom by taking time to listen and then determine the best way forward."
5	"He spoke with confidence and conviction and it was notable that he chose to fly solo rather than have the company secretary or other in attendance."

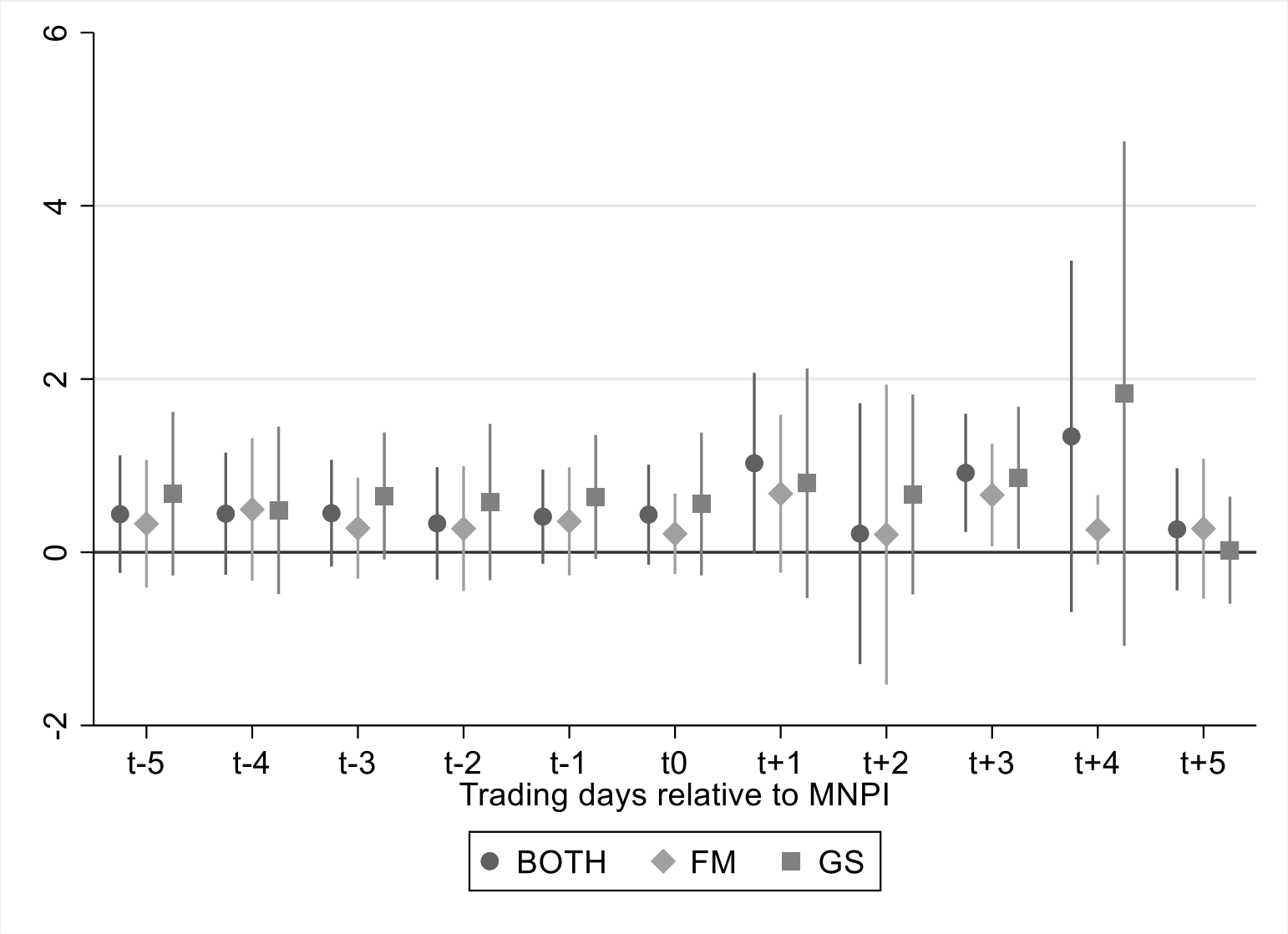
Trading based upon Meeting Notes: Soft Information, Hard Information

	(1)	(2)	(3)
Dep. variable	Trade	P(Sell Trade)	P(Buy Trade)
FM $\text{Soft}_{0,5}$ ($\geq\tilde{x}$)	2.049***	0.594***	0.906***
	[0.765]	[0.0718]	[0.0982]
FM $\text{Hard}_{0,5}$ ($\geq\tilde{x}$)	8.013***	0.130	1.566***
	[1.296]	[0.0965]	[0.213]
GS $\text{Soft}_{0,5}$ ($\geq\tilde{x}$)	-3.190***	0.324***	-0.481***
	[0.856]	[0.0760]	[0.0654]
GS $\text{Hard}_{0,5}$ ($\geq\tilde{x}$)	-5.053*	0.254	-0.524***
	[2.598]	[0.318]	[0.182]
Sample	Trades	Full	Full
Controls	Yes	Yes	Yes
Stock, Date FE	Yes	Yes	Yes
N	240,058	10,450,063	10,450,063
Adjusted R^2	0.023	0.002	0.004

Material Non-Public Information

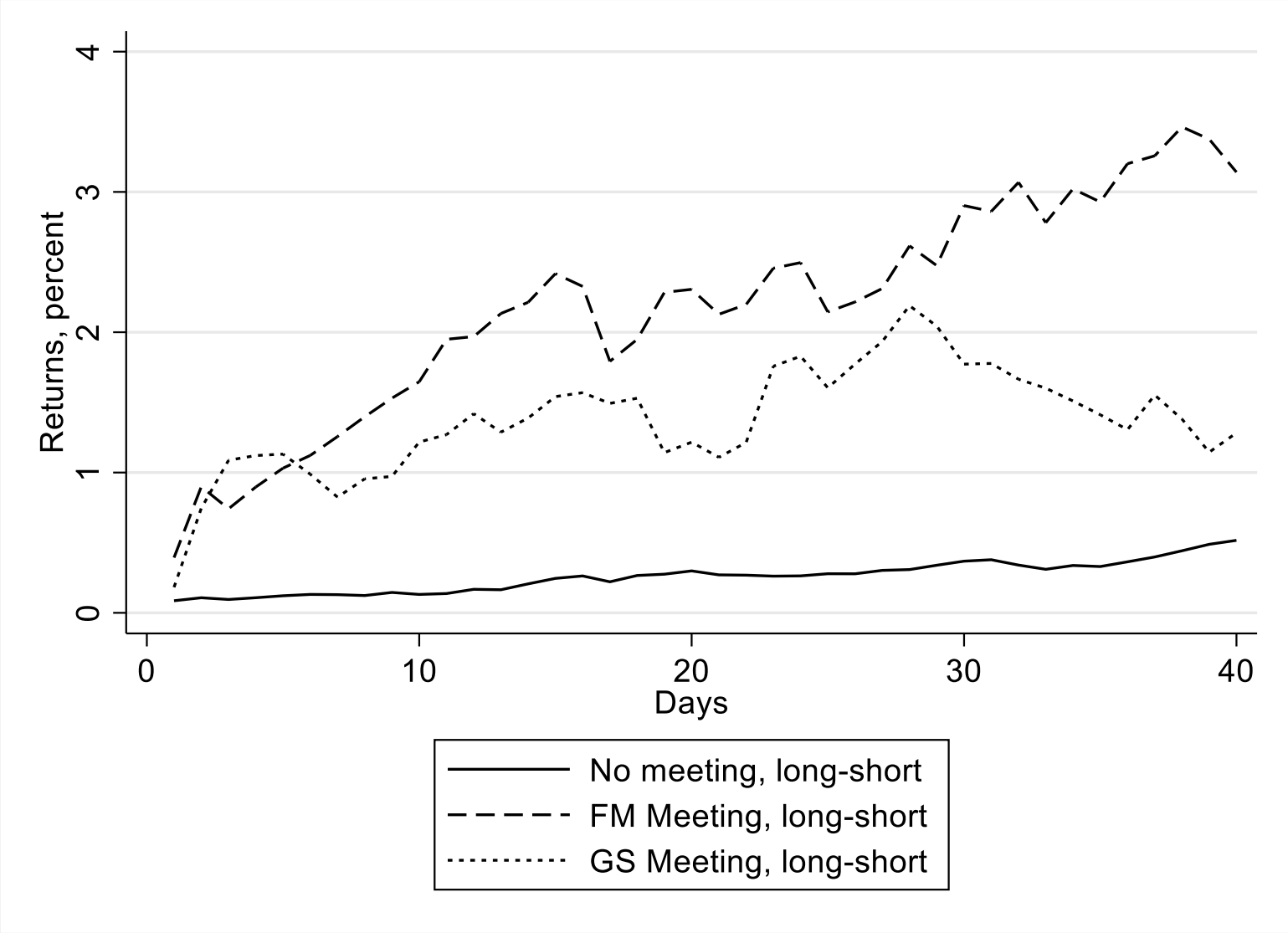
Date of information	Non-public information type	Meeting type	MCap $ firm, bn	FF49 industry	Funds holding the stock	Agg stake held
14-Mar-07	Next-day quarterly earnings and equity issue	FM	1.3	banks	39	7.2%
1-Feb-08	Allegations of human rights violations and environmental damages (ESG meeting)	GS	5.6	mines	65	3.9%
18-Dec-08	Decision to sell part of business	FM	0.1	banks	55	13.2%
21-Apr-09	Rights issue	FM	0.7	fin	35	7.2%
8-May-09	Plan to issue equity	FM	0.9	rtail	24	3.7%
23-Jun-09	CEO succession and board changes	GS	4.6	rtail	42	0.4%
26-Feb-10	Discussion of subsequently failed M&A deal	FM	0.1	txtls	14	10.0%
18-May-10	Rights issue	FM	15.6	util	48	1.1%
9-Aug-10	Announcement of M&A deal with competitor	FM	5.8	util	67	3.7%
25-Feb-11	Rights issue	FM	0.1	txtls	9	8.0%
22-May-12	Financial terms of CEO departure	GS	33.8	drugs	40	1.0%
15-Jun-12	Wide-ranging discussion of potentially material issues with overlapping board member	GS	2.0	fin	61	7.2%
15-Jun-12		GS	15.6	telcm	56	2.1%
15-Jun-12		GS	24.5	trans	39	1.9%
11-Dec-12	Announcement of CEO change	GS	35.9	oil	48	1.4%
4-Mar-13	Rights issue	FM	1.8	oil	17	3.3%
22-Oct-13	Surprise departure of CFO	GS	1.5	bussv	8	1.3%

Trading in Event Time Trades when private information is being conveyed



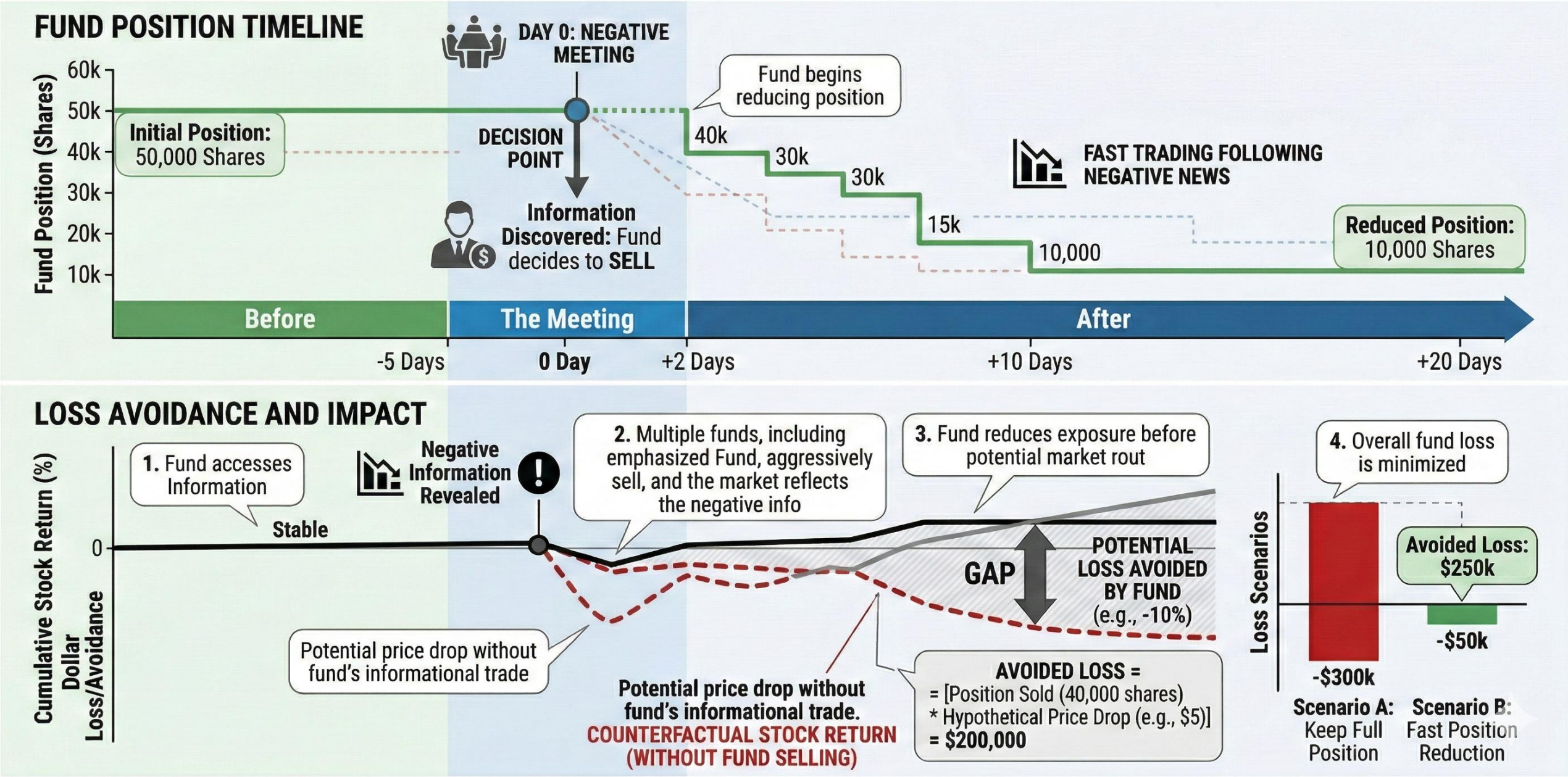
The dependent variable is the daily net percentage change in the number of shares held in the portfolio company per fund.

Performance of Buy and Sell Trades on Meeting Days

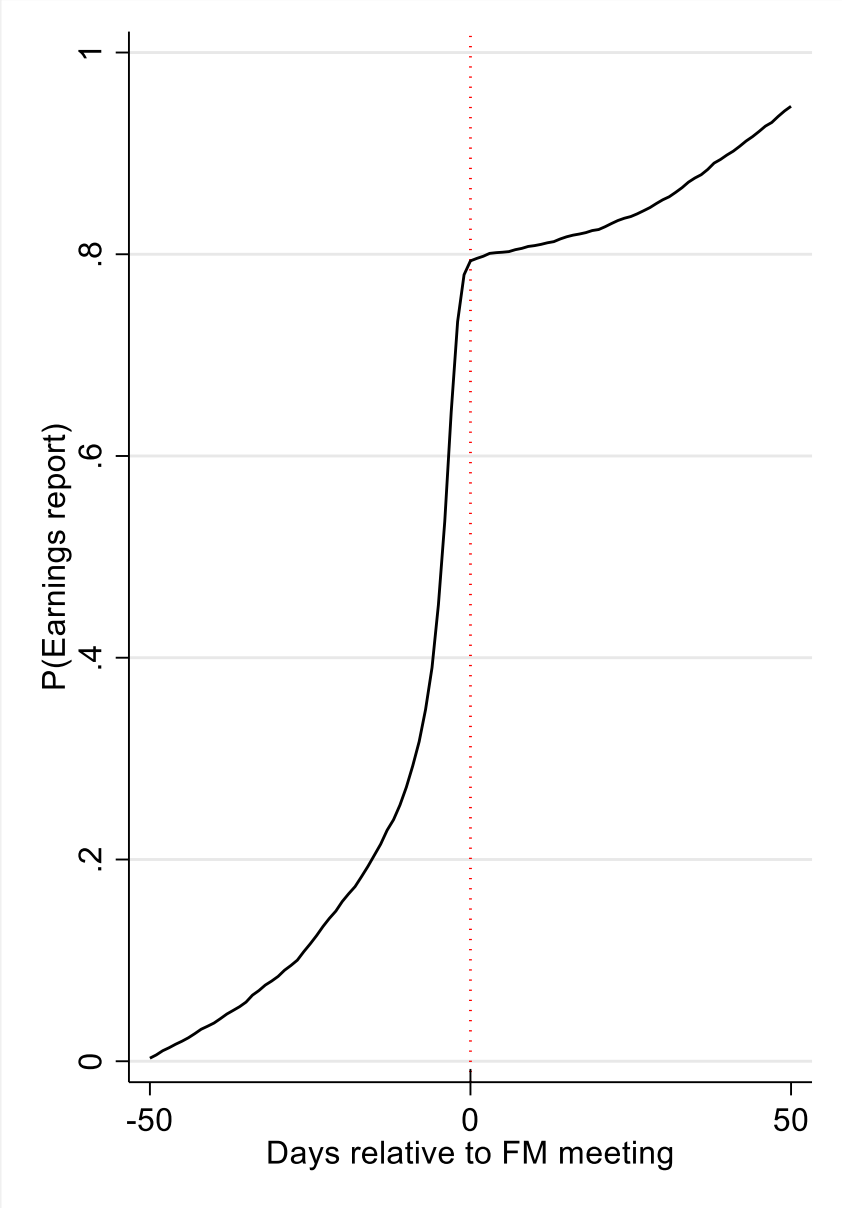
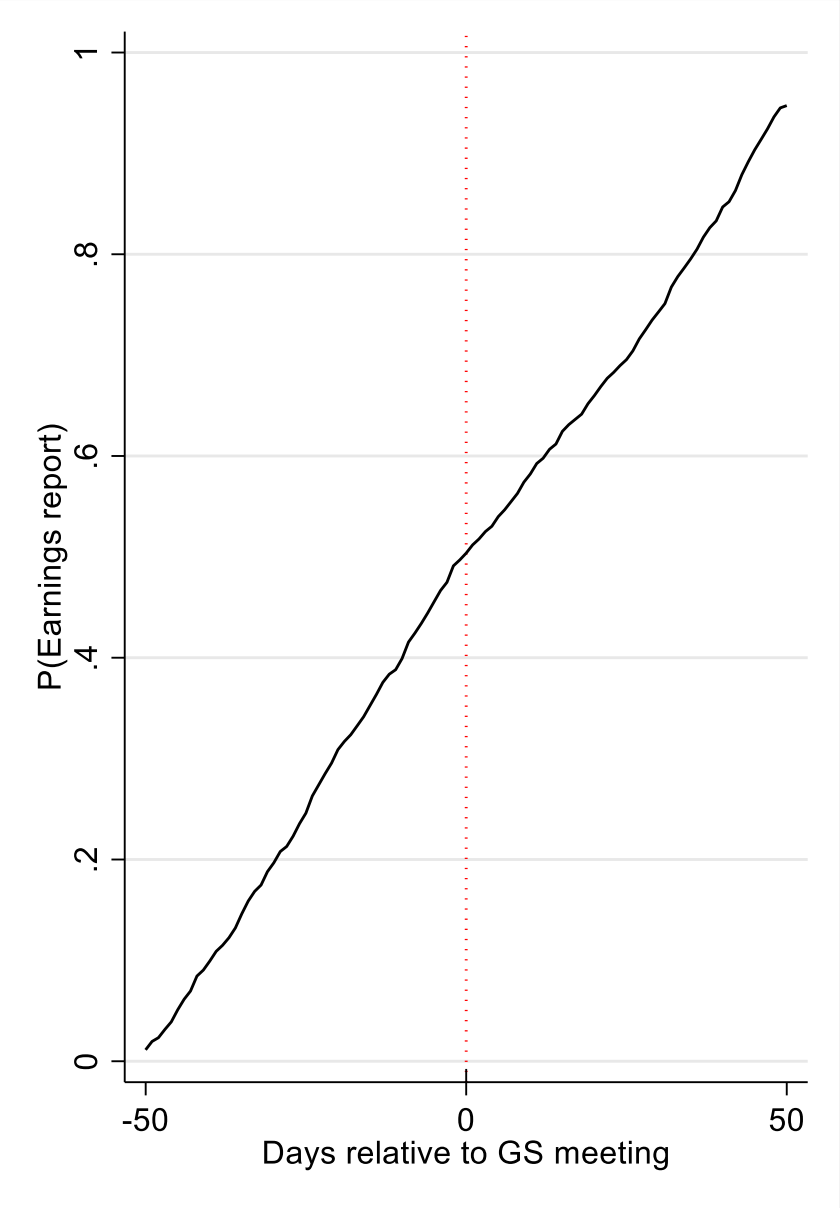


Procedure follows Bradley, Jame and Williams (2022) JF. For each trading day during the sample period 2007-2015 we sort all stocks into terciles based on the aggregate net trading across all funds that hold the stock on that day; we do so separately for stocks for which a FM or GS meeting takes place (Meeting) and for stocks without any meeting (No meeting).

FIGURE 1: **TIMELINE AND LOSS AVOIDANCE AFTER A NEGATIVE MEETING: FUND POSITION REDUCTION (MBA CLASS VERSION)**



Conclusion

- Active manager can gain insights from company meetings by assessing management and boards, even with regulatory restrictions on insider information;
- There are financial incentives to monitor and understand (and to engage);
- Information is mostly soft. Hard information is more likely to be used for trading than soft information; but soft information still leads to significant trading.
- Excess returns on trading around meeting dates
- How will LLM’s influence Analysts in Asset Manager Industry?

The Timing of Earnings Reports and Meetings